

FILED

JUN 30 2017

BEFORE THE
FEDERAL MARITIME COMMISSION

PETITION NO. P1-17

Federal Maritime Commission
Office of the Secretary

PETITION OF MAERSK LINE A/S
FOR AN EXEMPTION FROM 46 C.F.R. §530.8

Pursuant to 46 U.S.C. § 40103(a) and 46 C.F.R. § 502.76, Maersk Line A/S ("Maersk Line") hereby urgently petitions the Federal Maritime Commission ("FMC") for an exemption from 46 C.F.R. §530.8 that would permit Maersk Line to apply service contract rates contained in new service contracts and amendments to existing service contracts retroactively to shipments received on or after June 30, 2017, for a period of up to twenty (20) days.

The FMC is permitted to administratively exempt companies from the requirements of the Shipping Act of 1984, as amended (the "Act") and FMC regulations if it finds that the exemption will not result in a substantial reduction in competition or be detrimental to commerce. For the reasons set forth below, the relief requested herein would neither reduce competition nor be detrimental to commerce.

As has been well documented in the mainstream news media and trade press, on June 27, 2017, Maersk Line was attacked by the so-called Petya virus. This virus has severely inhibited the operation of Maersk Line's information systems, including the system which stores service contract information. As a result, Maersk Line is not able to determine which service contracts and/or service contract rates are scheduled to expire at the end of June or in early July. Normally, Maersk Line would contact customers with expiring contracts or expiring rates within on-going contracts and offer to extend or renegotiate the expiring contracts/rates. However, because of the impact of the virus on its information systems, Maersk Line is unable to determine which shippers to contact in order to extend or renegotiate those contracts/rates. Further, even if Maersk Line were able to identify the relevant contracts/rates and to reach agreement with shippers regarding the disposition of expiring contracts/rates, it lacks the ability to electronically file those documents with the Commission because of its systems issues.

In light of the foregoing, Maersk Line is requesting relief from the service contract filing provisions of the Commission's regulations for twenty (20) days starting from the date of this petition. This time period should provide Maersk Line sufficient time to regain access to its service contract database and filing capabilities, to be able to identify expiring contracts/rates, and obtain agreements from shippers with regards to the disposition of their expiring contracts/rates.

By granting this petition, the Commission will allow Maersk Line to apply those rates which would have been agreed upon with customers in the absence of the cyberattack to shipments tendered during the period between June 30 and the date an appropriate contract or contract amendment is filed. In other words, rather than requiring customers to pay higher tariff rates to shipments tendered during this period, the grant of this petition will permit Maersk Line

to apply service contract rates to such shipments that were agreed upon and filed after the date of cargo receipt without violating the Shipping Act. This relief will not reduce competition or be detrimental to commerce, as it merely allows Maersk Line to provide service to its customers on the same commercial terms as it would have had it been able to conclude and file the appropriate contracts and contract amendments.

Maersk Line A/S appreciates the Commission's urgent consideration of this petition in light of the unprecedented and extraordinary cyberattack on Maersk Line's ability to fully operate as a vessel operating common carrier.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Dennis A. O'Brien".

Dennis A. O'Brien
Regional Counsel
Maersk Transport and Logistics
on behalf of Maersk Line A/S

June 30, 2017